

Payment Policy

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1. Purpose

Defines payment terms, schedules, and controls for supplier invoices issued against approved contracts.

2. Standard Payment Terms

- Default payment terms are **Net 30** from the date of invoice receipt, unless the contract specifies otherwise.
- Early payment discounts (e.g., 2/10 Net 30) may be applied only if explicitly stated in the contract's payment schedule.

3. Payment Schedule Compliance

Invoice payment schedules must match the schedule defined in the governing contract. Any deviation (different due date, different milestone structure) must be flagged as a warning during invoice validation.

4. Milestone-Based Payments

For contracts with milestone-based deliverables, payment may only be released after the corresponding milestone has been marked complete and accepted. Invoices submitted before milestone completion must be rejected.

5. Overpayment Prevention

Finance and the Contract Compliance system must jointly verify: - Invoice amount does not exceed the remaining approved contract balance - Cumulative payments to date do not exceed total contract value unless an approved amendment increasing contract value is on file

Any invoice that would cause cumulative payments to exceed contract value must be blocked pending amendment approval.

6. Currency and Rounding

All contracts and invoices must be evaluated in the currency specified in the contract. Cross-currency invoices require conversion using the exchange rate documented at contract signing, not the rate at invoice date, unless the contract specifies a floating-rate clause.